

Fearnleys Dry Bulk Weekly

Dec 4, 2024

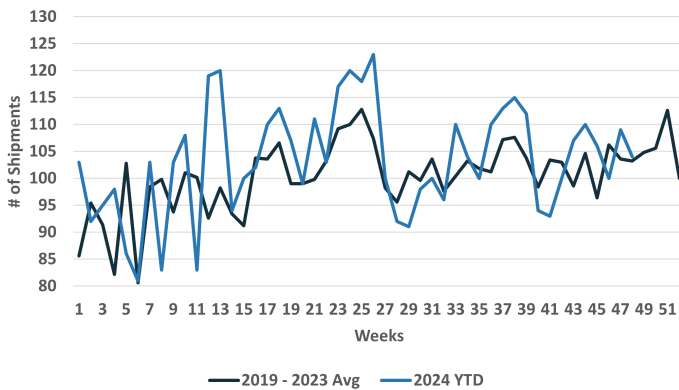
Bernhard Baardson

Capesize/Newcastlemax

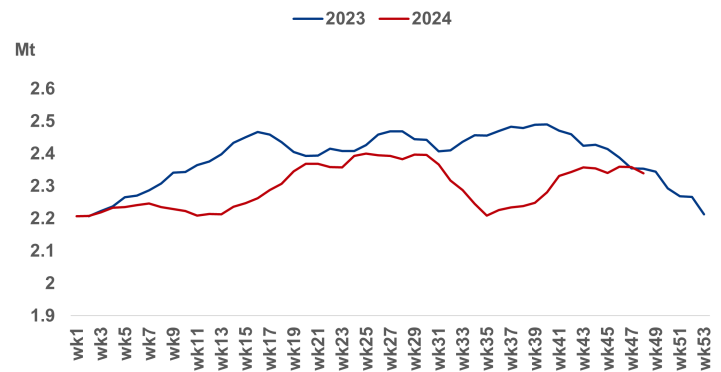
In December, the market either trends down or gets a late-month push due to the seasonal increase in Australian exports to China. We are unsure how it will develop this year, but it is clear that fundamentals are weak, so an eventual rally will not likely be major.

According to Platts, China will hold its Central Economic Working Conference next week, which will set China's economic goals for 2025, including GDP growth and the fiscal deficit ratio. The intent to stimulate the economy is obvious, the question is whether it will work and if it does, when will dry bulk markets be lifted as a result? We think that at least the first half of next year will not see any benefit from Chinese stimulus measures.

Australia Iron Ore Export Seasonality

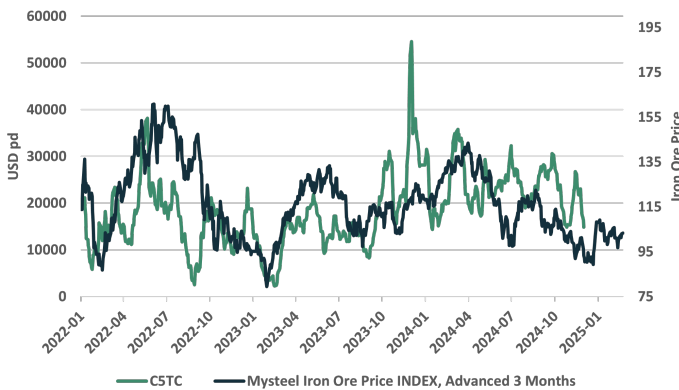


China Blast Furnace Hot Metal Output - 2023 vs 2024

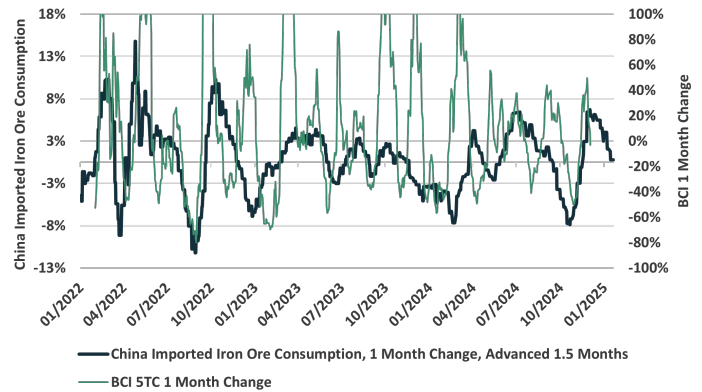


Source: Mysteel Data

Iron Ore Price Lead vs BCI5TC



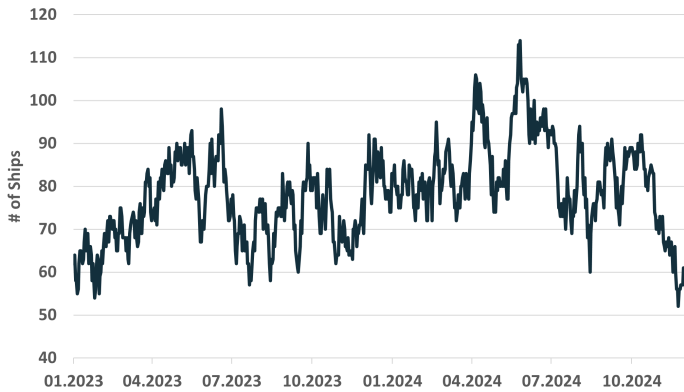
China Imported Iron Ore Consumption Lead vs BCI5TC 1 Month Change



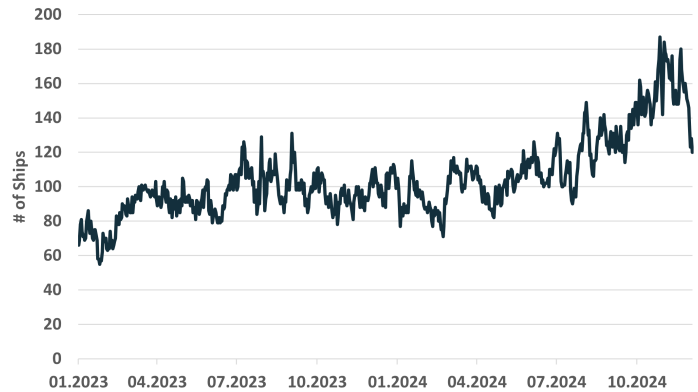
Panamax/Kamsarmax

All the main trades are weak, with dropping counts of vessels laden with coal or soybeans to China, and coal to India. Attention turning more towards where the floor is rather than whether the market can bounce from these levels.

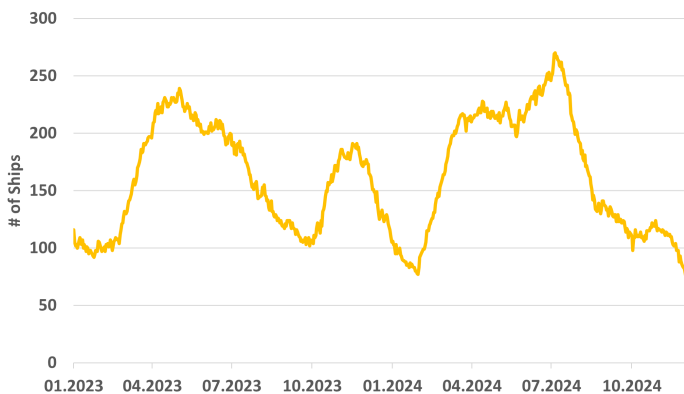
Panamax / Kamsarmax Laden With Coal to India



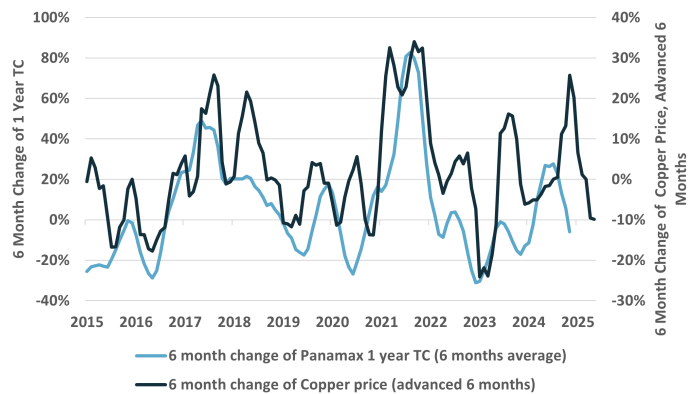
Panamax / Kamsarmax Laden With Coal to China



Panamax / Kamsarmax Laden With Soybeans to China



Copper Price Lead vs Kamsarmax 1 Year TC Change



Supramax/Ultramax

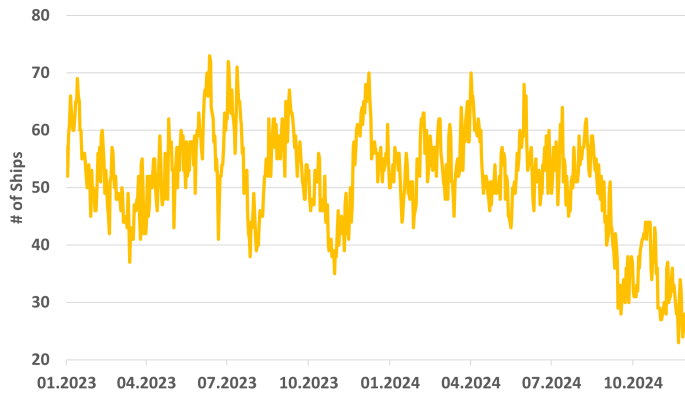
Two weeks ago, we wrote the following:

Overall it is not a strong picture. Demand growth both in terms of shipment volumes and ton-time has dropped significantly in the last months, industrial metals prices have trended down since late September, and the Brazil+US grain season is weaker than last year.

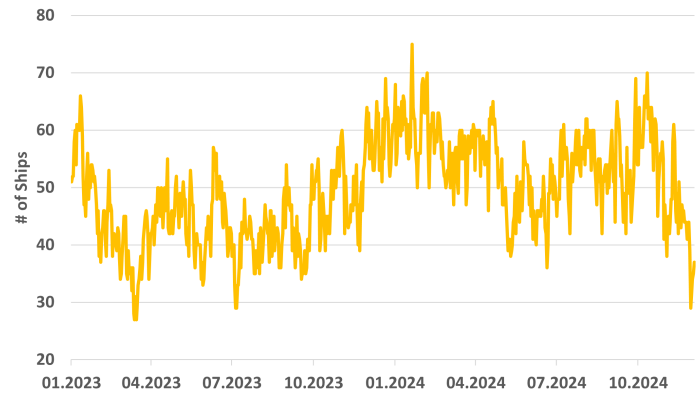
Seasonality suggests the market could bounce from current levels, but overall we expect the market to continue trending down until the beginning of February next year.

The market is finding some stability here, around the time one usually sees a bounce. However, we expect the market to go sideways or slightly down until year-end.

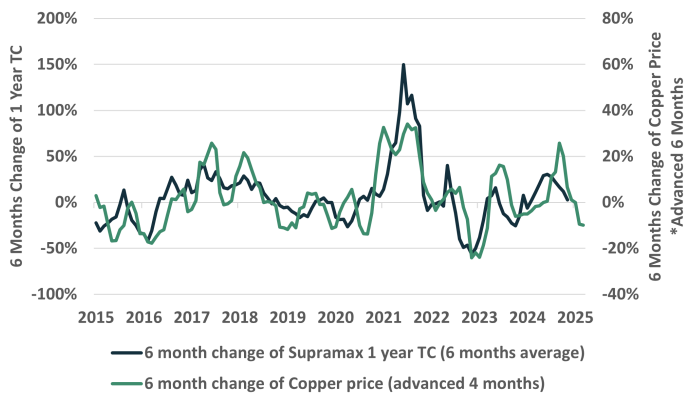
Supramax / Ultramax Heading to Brazil



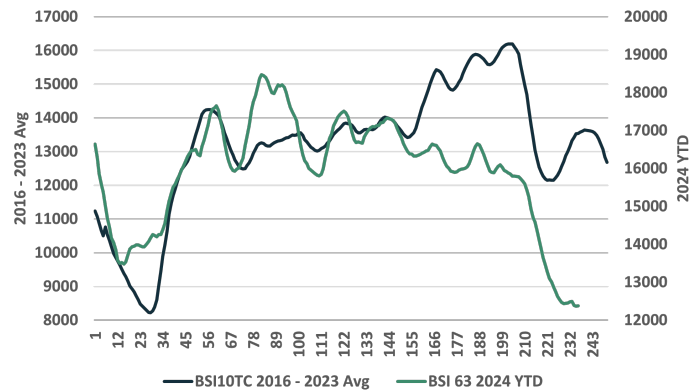
Supramax / Ultramax Heading to the US



Copper Price Lead vs Supramax 1 Year TC 6 Months Change



Supramax / Ultramax Seasonal Average





Disclaimer

1. Introduction

The statistical and graphic information set forth in the analysis is compiled by Fearnresearch and based on the databases and time series supplied by Fearnresearch, the research division of Fearnleys AS, and other external sources of information. Fearnresearch compiles, processes and publishes data for the benefit of the brokering departments of Fearnleys AS and its clients. Its methodologies for collecting data, and therefore the data collected, may differ from those of other sources, and its data do not reflect all or even necessarily a comprehensive set of actual transactions occurring in the market. Certain estimates may be based on prevailing market conditions. There can be no assurance that such data reflect actual market conditions.

Data compilation, especially for earlier historical periods, is subject to limited audit and validation procedures. Both closed and open sources, interviews and market intelligence to gain information on different topics may be used. Accordingly, there can be no assurance as to the accuracy or completeness of the estimates, advice, statements and any other information contained in the analysis.

2. Risks

Research coverage of Fearnleys AS encompasses solely companies within the shipping sector. This sector is cyclical by nature and will over time presumably experience higher volatility than the overall market.

3. Confidentiality

Pursuant to Fearnleys' Code of Conduct, all employees of Fearnleys AS are subject to duty of confidentiality towards clients and with respect to handling inside information. All employees shall follow strict information handling procedures and other organizational procedures to minimize conflicts of interest within Fearnleys and between clients.

4. General Disclaimer of Liability

The analyses, estimates, advice, statement and any other information contained in the analysis are prepared and presented in good faith. However, neither Fearnresearch, Fearnleys AS nor any of their subsidiaries, associated companies, organisations, management personnel, employees, agents or independent contractors (collectively the "Fearnley Interests") shall under any circumstances be under any liability for any losses, damages or costs caused to any person, company or other legal entity arising or resulting directly or indirectly from reliance on any inaccurate, incorrect, incomplete or misleading analyses, estimate, advice, statement or any other information contained in the analysis resulting directly or indirectly from any negligent or gross negligent act(s) or omission (s), or wilful misconduct, committed by any of the Fearnley Interests.

In the event that a court or tribunal, notwithstanding the above liability exemptions, should hold any, some or all of the Fearnley Interests liable in damages for any inaccurate, incorrect, incomplete or misleading analyses, estimate, advice, statement or any other information, the liability shall not under any circumstances whatsoever exceed in total ten (10) times the fees payable for the analysis in question, or US\$ 100,000 (United States Dollar Hundred Thousand), whichever is the higher.

Under no circumstances whatsoever shall the individual or individuals who have caused the losses, damage or costs be held personally responsible or liable in any way. The Fearnley Interests shall under no circumstances whatsoever be liable for punitive damages.

The analysis is prepared to the benefit of the named addressee only. No other third party may rely on the analysis or any of its content without prior written approval of Fearnley Consultants AS.

Should any part of this clause be held unenforceable, non-operative or invalid by a court or tribunal, the remaining parts shall remain in full force.

5. Processing of Personal Data

The processing of personal data within Fearnleys AS is subject to strict rules and regulations. Our Privacy Policy describes the procedures for processing personal data according to the General Data Protection Regulation (GDPR). Please see our homepage for more information on this.

Fearnleys AS

Dronning Eufemias gate 8
0191 Oslo
Norway
+47 22 93 60 00

An Astrup Fearnley Company